



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Previn and Deebthika (Debbie) Blanchard

Of

3 Nursery Rise
WARRAGUL VIC 3820

Prepared on:

7th July 2022

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

7/07/2022

Previn and Debbie Blanchard
3 Nursery Rise
WARRAGUL VIC 3820

Dear Previn and Debbie,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Tax effective education planning for your children
- Superannuation contribution strategies and tax minimisation
- Superannuation structure
- Wealth accumulation

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Previn and Debbie, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Consider a tax effective Education Bond to assist with the funding your children's education.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Consider appropriate superannuation contribution strategies.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Previn	Deebthika
Surname	Blanchard	Blanchard
Gender	M	F
Date of Birth	06/03/1985	09/08/1986
Age Last Birthday	37	35
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Part Time
Occupation	Dentist	Dentist
Employer	Self-Employed	Self-Employed

Estate Planning

	Previn	Debbie
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Warragul Residential Home	\$1,600,000
Total Lifestyle Assets	\$1,600,000

Investment Assets	Value
Surrey Hills Investment Property	\$1,500,000
Cash at Bank	\$200,000
Colonial First State FirstChoice Wholesale Investment 1	\$32,121
Colonial First State FirstChoice Wholesale Investment 2	\$28,999
Total Investment Assets	\$1,761,120

Superannuation Assets	
<u>Previn</u>	
Care Super	\$150,039
<u>Debbie</u>	
Aware Super	\$84,141
<u>Jointly Owned</u>	
SMSF	\$342,000
Total Superannuation Assets	\$516,180

Total ASSETS	\$3,877,300
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LIABILITIES

Surrey Hills Investment Property Loan	\$745,000
Total Liabilities	\$745,000

NET WORTH	\$3,132,300
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that **Previn** has a **Growth** investor risk profile, and **Debbie** also has a **Growth** investor risk profile.

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A 'Growth' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Education Funding – Family Education Bonds

Your situation

You have three children of ages seven, four and almost one and you wish to establish an investment vehicle to assisting with the funding of their future education.

You have \$70,000 to invest initially (i.e. \$60,000 from the Colonial First State FirstChoice Wholesale Investments plus an additional contribution of \$10,000) and you wish to regularly contribute \$750 per month.

Recommendation

- Invest in a Futurity Investment Group Family Education Bond and nominate your children Roshini, Nithya and Ahilan as Education Beneficiaries.

Investments Within the Family Education Bond

Previn and Debbie, a range of investment options can be invested in to form your portfolio within the Education Bond. The investment should be aligned with your Investor Risk Profile and timeframe of the children's education.

Recommendation

- Invest \$70,000 into the Vanguard Growth Index Fund.
- Make monthly contributions of \$750 into the Family Education Bond

The 'target' asset allocation of the Vanguard Growth Index Fund is:

Asset Class	% of Portfolio
Australian Shares	28.00%
International Shares	38.00%
Australian Fixed Interest	9.00%
International Fixed Interest	21.00%
Emerging Markets Equities	4.00%
	100%

By establishing a Family Education Bond, making contributions as recommended and nominating your children as Education Beneficiaries, you will be able to accumulate funds to assist with your goal of funding their education.

When you make approved claims to pay for education expenses etc., certain tax consequences may occur. Below are some notes as a guide. We recommend that you consult this office before making any such claims and we will advise you of the appropriate/most tax-effective withdrawal format at the time.

- Claim for education purposes (Education Benefit Claims):
 - Covers:
 - ✓ Pre-school, primary, secondary & higher education; vocational education & training; career enhancing; adult education; special education – remedial and special needs - Australian or overseas
 - ✓ Course & tuition fees; books, devices, uniforms, excursions, travel expenses; education loan repayments (student debt) & education living expenses.
 - Capital Component – Tax-free
 - Earnings – subject to full 30% Education Tax Benefit

For example:

- Withdraw \$10,000
- You receive \$10,000
- Balance reduces by only \$7,000
- Note that the full benefit is taxable in the hands of the Education Beneficiary
- **If the Education Beneficiary is assessed as an adult**, then if their taxable income is under the effective standard tax-free threshold of \$23,227 p.a. (including LITO and LMITO) then they will pay no tax
- **If the Education Beneficiary is assessed as a minor**, then they can only derive taxable income up to \$416 before being subject to penalty rates of marginal tax @ 66% up to \$1,307 and @ flat 45% flat over \$1,307 (see table below). It would make sense in that instance, to withdraw from the capital account only, leaving the earnings intact and continuing to grow
- You should keep receipts for any Education Benefit Claims made as Futurity and/or the ATO may request proof of education expenses

- **Marginal Tax Rates for a Resident Minor – source ATO**

Eligible Income	Child's MTR
\$0 to \$416	0
\$417 to \$1,307	66%
Over \$1,307	45% of the total amount

Family Education Bond Projections

Assumptions:

- Tax liability for managed fund is funded from withdrawal at end of each year
- Investor marginal tax rate of 39.0%
- Investments at start of month
- Underlying investments distribute monthly and re-invested
- Adviser estimated return 7.00% p.a. This estimated return is used in the projection.
- Growth return of 5.25% p.a.
- Income return of 5.78% p.a.
- Franking level of 14.7% p.a.
- Investment returns (December 2021) and tax assumptions (June 2021) are reviewed at least annually
- Investment earnings are calculated on accumulated fund balance
- Withdrawals at end of month
- 10-year rule applies to withdrawals. Assuming not breaching 125% rule.
- Students satisfy educational purpose test for educational bond withdrawal
- Management fees of 0.58% (p.a.)
- Underlying Managed Fund Fees of 0.20% (p.a.)
- Adviser upfront fee of \$0 and Adviser ongoing fee of 0.40%
- Beneficiary / student has no other assessable income

Year	Contributions	Education Bond
1	\$79,000	\$82,041
2	\$9,000	\$94,585
3	\$9,000	\$107,656
4	\$9,000	\$121,274
5	\$9,000	\$135,462
6	\$9,000	\$150,244
7	\$9,000	\$165,646
8	\$9,000	\$181,693
9	\$9,000	\$198,411
10	\$9,000	\$215,830
11	\$9,000	\$233,979
12	\$9,000	\$252,890
13	\$9,000	\$272,614
14	\$9,000	\$293,195
15	\$9,000	\$314,671
16	\$9,000	\$337,081
17	\$9,000	\$360,464
18	\$9,000	\$384,863
19	\$9,000	\$410,323
20	\$9,000	\$436,890

Educations Bonds & Tax

FAMILY EDUCATION BOND

A 'first-of-kind' discretionary Education Bond that works like your own tailored, education-purposed family trust structure – but with the inbuilt tax-effectiveness of a conventional education bond.

You have discretion to appoint up to 10 Education Beneficiaries and can flexibly make Education Benefit Claims for some or all of them.

You may contribute up to a maximum \$600,000 per Education Beneficiary, however this a 'self-imposed limit', with some flexibility, set by the Life Company, to show **intent** to use the bond for the purpose of education funding. With Futurity Family Education Bonds, up to 10 beneficiaries can be nominated, hence up to \$6mil., can be contributed.

A Family Education Bond can be established with e.g., only 1 education beneficiary is originally nominated with the **intent** that, more children will be forthcoming, the owners themselves may undertake courses and be education beneficiaries, future grandchildren may also be intended to become beneficiaries.

Such **intent**, at establishment is **not required** upon withdrawal. **Intent** in this instance is flexible, hence the ability to make non-education withdrawals, capital only withdrawals and have full discretion to apply the funds where they wish.

You have discretion to appoint and remove potential Education Beneficiaries across two broad classes comprising:

- Family Class including: you, your spouse (or partner), your children and grandchildren and other family relatives; and/or
- Friends Class covering: other persons unrelated to you, such as friends (and their children) and other sponsored or supported children.

A Family Education Bond can be set with an Investment Term of up to 99 years so it can facilitate lifelong education provisioning and intergenerational wealth transfers.

Bond Owners, such as grandparents wanting to look after large family groups (which exceed 10 Education Beneficiaries) might use multiple Family Education Bonds. For instance, one Family Bond for the grandchildren of each family branch.

Internally, Education Bond earnings are taxed at a headline 30% tax rate. This rate is effectively reduced by various credits and offsets resulting, in some cases, much lower rates. This means that the Education Bond owner benefits from improved after tax earnings and (consequently) greater bond balances.

Personal Tax Position

When you draw down funds from an Education Bond, the tax treatment differs depending on the withdrawal type (education or non-education) of the draw down as well as whether it is from the earnings component or the capital (contributions) component.

Withdrawal for non-education benefits (Other Withdrawals - Any Purpose)

- Subject to tax as an Investment Bond withdrawal
 - Capital Component of withdrawn amount - tax-free
 - Earnings Component of withdrawn amount – may be assessable
 - Within the first 8 years, you declare 100% of the Earnings Component in your income tax return (Futurity will inform you of this amount in the withdrawal statement). Regardless of the effective rate of internal tax Futurity has paid (30% or lower), you will receive a full 30% tax offset (of your assessable amount) when your tax return is assessed
 - Between years 8 & 9, you declare 2/3rds of the Earnings Component and the 30% offset will apply accordingly
 - Between years 9 & 10, you declare 1/3rd of the Earnings Component and the 30% offset will apply accordingly
 - After year 10, nothing to declare, no 30% offset applies
 - Even within 10 years, your Earnings Component would *not* be reportable (as an assessable amount) if your withdrawal were made in certain circumstances

Note: As this is an Education Bond, unlike a standard Investment Bond, you can withdraw singularly from the capital component. This would not trigger a tax event for you and at a time suitable to you can add capital back into the bond. This add-on will be accounted for under the [125% Rule](#) for future 'non-education' purpose withdrawals.

A Tax File Number (TFN) is not required to invest in Futurity Education Bonds. Remember, tax return reporting by you regarding earnings (income or capital gains) is not required, unless you withdraw for non-education purposes as an Investment Bond and within the 10-year period (other than in described certain circumstances). Education Beneficiaries however may be required to lodge a tax return for payments made from Education Benefit Claims. We *will* advise you of the tax consequences of, and how to structure, any withdrawals you may require.

Education Benefit Claims & Other Withdrawals (Any Purpose)

Futurity Education Bonds unlike other 'ordinary-money' investments, are essentially capital in nature and do not distribute income or capital gains to you, the investor, unless an assessable withdrawal is made. The tax treatment of these withdrawals will vary depending upon their nature and upon their timing. Claims to provide education benefits are known as Education Benefit Claims. Withdrawals to provide non-education benefits are referred to as withdrawals (or more specifically, Other Withdrawals (Any Purpose)). Lakeside will assist you in managing your claims and/or withdrawals

Bond Transfers (Change of Ownership)

Futurity's Education Bonds may be transferred to any person(s) or entity at any time and provided no consideration is paid for the transfer to take place, no transfer-related tax implications may need to be considered.

The current tax status of the Education Bond (10-year 125% rule status if used to provide non-education benefits) remains intact, and transfers with the ownership and control.

125% Rule

When considering the ability to make non-education related withdrawals utilising Investment Bond Tax Rules, the taxation status of the Futurity Education Bond will not be compromised by making additional contributions, however they must not exceed 125% of the contributions made within the previous 'Education Bond' year. The '125% rule' is established under Taxation Law.

Each year you can invest up to 125% of the previous year's contribution without restarting the 10-year period for tax purposes. Refer to the Futurity Education Bond PDS for more information on the 10-year tax period.

For example, if your initial contribution in year 1 is \$10,000, you can invest up to \$12,500 ($10,000 \times 125\%$) in year 2 and so on. By contributing up to 125% of the previous year's contributions you can take advantage of the 10-year tax rule.

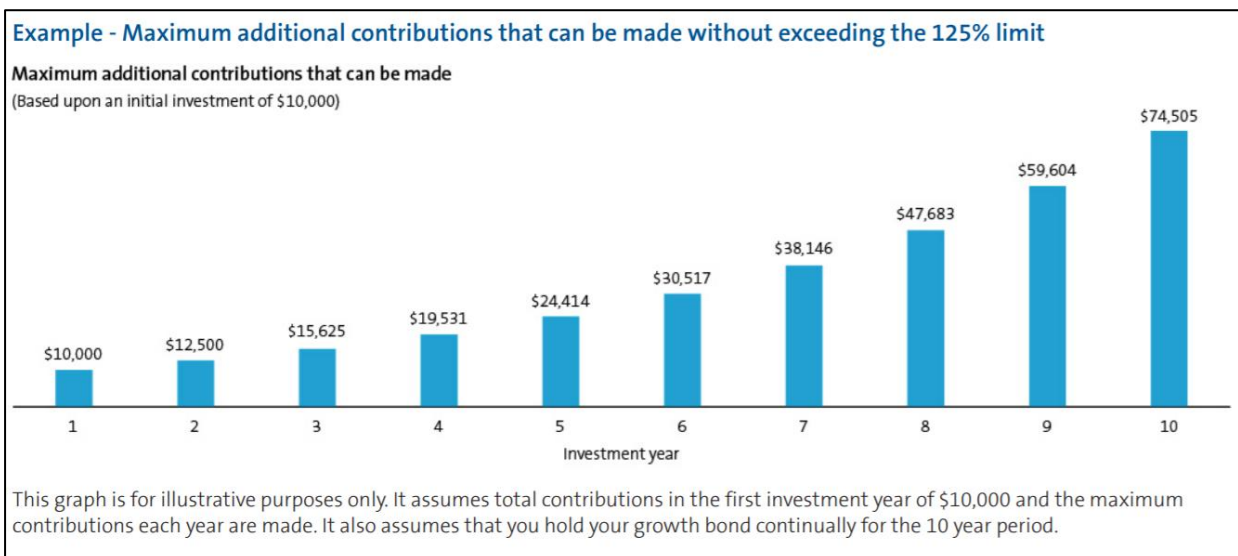
You can switch investment options at any time without resetting the 10-year tax period. This is because investment switches do not count as a contribution and are not included in the calculation of the 125% rule.

If the total contributions (in any Bond year) exceed 125% of your previous Bond year's total contributions, the '10-year tax period' will be reset and deemed to recommence at the start of that Bond year. This may not be disadvantageous depending on your marginal tax rate (MTR) in the intended year of withdrawal. Should your MTR be below 30% at the time of withdrawal, then with the application of the 30% tax offset in your tax return, you should pay no tax on the earnings of your bond and may even reduce the tax burden on your other assessable income.

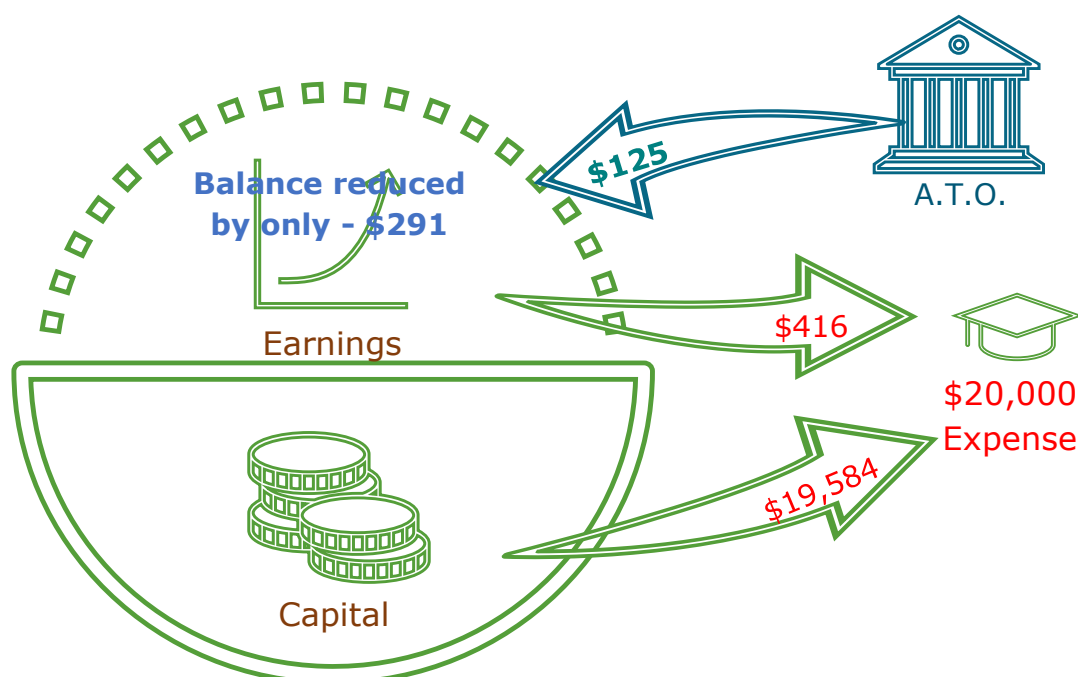
The graph below shows how the 125% rule could operate, based on an initial contribution of \$10,000.

To ensure that you are aware of how much can be contributed under the 125% rule, Futurity will provide the following information to you as part of your Annual Statement:

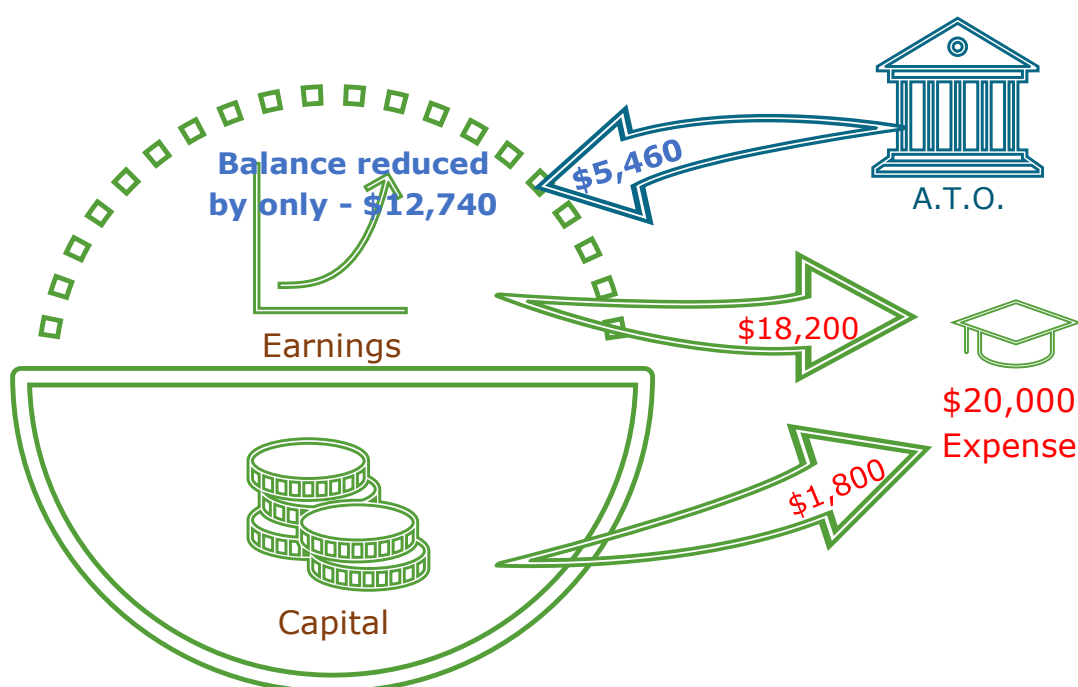
- details of the previous Bond year's contributions; and
- the allowable contribution amount in line with the 125% rule for the anniversary of the current Bond year.



Maximising the 'gross-up' Minors <18 y.o.



Maximising the 'gross-up' Adults >18 y.o.



Superannuation Review

Previn and Debbie, aside from your Self-Managed Superannuation Fund (SMSF) with a current approximate balance of \$342,000 you currently have the following approximate superannuation balances:

Previn

➤ Care Super \$150,039

Debbie

➤ Aware Super \$ 84,141

TOTAL **\$234,180**

Recommendations:

- You effectively have three options in terms of how these superannuation monies are structured:
 - Continue to hold these monies in your existing Care and Aware super funds.
 - Roll across these superannuation monies into your SMSF and invest in to a more actively managed wholesale managed fund investment.
 - Roll across these superannuation monies into your SMSF and pay down debt against your SMSF owned property.

Investments Within Superannuation

Care Super:

Previn, you have a superannuation fund with Care Super invested in the following options.

- Sustainable Balanced (34%)
- Growth (33%)
- Balanced (33%)

The overall asset allocation of your Care Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	24.64%
International Shares	28.97%
Property	9.34%
Fixed Interest	11.69%
Cash	3.68%
Infrastructure	9.34%
Private Equity	5.00%
Credit	7.34%
	100%

Care Super Portfolio Historical Performance at 31/05/22

	1 year	3 years (p.a.)	5 years (p.a.)
Care Super Portfolio	3.39%	Not published	7.52%

Aware Super:

Debbie, your superannuation funds are currently invested in Aware Super invested in the 'High Growth' option.

The 'target' asset allocation of the Aware Super 'High Growth' option is:

Asset Class	% of Portfolio
Australian Shares	25.40%
International Shares	43.00%
Property	6.90%
Fixed Interest	0.50%
Cash	4.10%
Infrastructure	8.30%
Private Equity	8.10%
Credit	2.60%
Alternative	1.10%
	100%

Aware Super 'High Growth' Historical Performance at 31/05/22

	1 year	3 years (p.a.)	5 years (p.a.)
Aware Super High Growth Option	2.87%	8.96%	8.85%

Option 1 – Maintain Existing Care Super and Aware Super Funds

Previn, you are invested in a number of Care Super investment options which aren't aligned with your Investor Risk Profile.

Debbie, you are invested in Aware Super's High Growth option which is not aligned with your Investor Risk Profile.

The asset allocation of your respective portfolios are detailed on the previous page.

Potential Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical longer term average performance associated with your existing Care Super fund may be lower than alternative options.

Option 2 – Roll your existing funds across to your SMSF and invest in an actively managed wholesale managed fund investment

An example of a 'Growth' portfolio within the Colonial First State platform is provided below. This would be a specifically modelled portfolio. The specific underlying funds that make up your individual portfolios would be:

Colonial First State Wholesale Investment – 'Growth' portfolio

	% of portfolio
Realindex Wholesale Australian Share	18%
Colonial First State Wholesale Index Australian Share	15%
First Sentier Wholesale Australian Small Companies	10%
Colonial First State Wholesale Index Global Share	25%
Ironbark Wholesale Property Securities	9%
FirstChoice Wholesale Property Securities	8%
First Sentier Wholesale Equity Income	15%
	100.00%

Performance of a Colonial First State Growth Portfolio at 31/05/22:

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
Realindex Wholesale Australian Share	18%	8.33%	8.83%	9.08%
Colonial First State Wholesale Index Australian Share	15%	4.30%	7.53%	8.48%
First Sentier Wholesale Australian Small Companies	10%	-1.71%	12.70%	13.46%
Colonial First State Wholesale Index Global Share	25%	2.31%	11.04%	10.21%
Ironbark Wholesale Property Securities	9%	3.82%	5.47%	7.61%
FirstChoice Wholesale Property Securities	8%	3.56%	3.61%	6.00%
First Sentier Wholesale Equity Income	15%	0.11%	6.47%	7.68%
	100.00%	3.20%	8.50%	9.12%

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A \$100 p.m. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

CFS FirstChoice Wholesale Personal Super - Previn	MER %	Amount invested ^❶ \$	Estimated fee \$
Realindex Wholesale Australian Share	0.61%	\$42,152	\$257
Colonial First State Wholesale Index Australian Share	0.31%	\$35,127	\$109
First Sentier Wholesale Australian Small Companies	1.11%	\$23,418	\$260
Colonial First State Wholesale Index Global Share	0.31%	\$58,545	\$181
Ironbark Wholesale Property Securities	0.81%	\$21,076	\$171
FirstChoice Wholesale Property Securities	0.91%	\$18,734	\$170
First Sentier Wholesale Equity Income	1.22%	\$35,127	\$429
Total ongoing fees ^❶	0.67%	\$234,180	\$1,577

- ❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of \$1,200 p.a. that is paid by you.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

Previn, you currently have the following insurance cover in place under your Care Super Fund

Care Super (superannuation owned)

Life Insurance:	\$341,700
TPD:	\$341,700

Debbie, you currently have the following insurance cover in place under your Aware Super Fund

Aware Super (superannuation owned)

Life Insurance:	\$260,937
Income Protection:	\$1,000 p.m. (90 day waiting period, payable for 2 years)

A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Andrew Kent will assist you with this analysis and we will subsequently provide recommendations accordingly.

Concessional Superannuation Contributions Carry Forward

Previn and Debbie, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Previn**, the following concessional contributions have been made in recent years:

Financial Year	Previn	Total Allowable Contributions
2018/19	\$24,938	\$25,000
2019/20	\$25,000	\$25,000
2020/21	\$0	\$25,000
2021/22	\$27,500*	\$27,500
TOTAL	\$77,438	\$102,500

* You have stated that you made the maximum concessional contribution for the 2021/22 year.

- Previn, you therefore have a total of **\$25,062** in concessional 'carry forward' contributions available to you in the 2022/23 financial year.

- **Debbie**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Cynthia	Total Allowable Contributions
2018/19	\$24,163	\$25,000
2019/20	\$25,000	\$25,000
2020/21	\$0	\$25,000
2021/22	\$27,500*	\$27,500
TOTAL	\$76,663	\$102,500

* You have stated that you made the maximum concessional contribution for the 2021/22 year.

- Debbie, you therefore have a total of **\$25,837** in concessional 'carry forward' contributions available to you in the 2022/23 financial year.

Recommendation:

- **Previn and Debbie**, as your respective superannuation balances are less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- Previn and Debbie, consider making these 'catch up' contributions in the 2022/23 financial year, along with your maximum concessional contributions for the year. The associated tax benefit is outlined on the following page.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 39% for Previn and 39% for Debbie if taken as income.
- **The total tax saving is anticipated to be:**
 - **Previn \$5,231**
 - **Debbie \$5,835**

Tax Liability - Previn

Current Estimated Tax Liability (Based on 2019/20 tax return)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$165,971			
Deductions				
Personal superannuation contribution		\$27,500		
Other deductions		\$10,830		
TAXABLE INCOME			\$127,641	
Tax Payable before Rebates/Credits				\$32,294
LESS Rebates & Credits				
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$32,294
Medicare Levy				\$2,553
NET TAX				\$34,847

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$165,971			
Deductions				
Personal superannuation contribution		\$27,500		
Catch up superannuation contribution		\$25,062		
Other deductions		\$10,830		
TAXABLE INCOME			\$102,579	
Tax Payable before Rebates/Credits				\$23,805
LESS Rebates & Credits				
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$23,805
Medicare Levy				\$2,052
NET TAX				\$25,857

* Note: the additional \$25,062 superannuation contribution will be subject to contributions tax of 15% (\$3,759). Therefore, total tax incurred will be \$29,616.

Therefore, the overall tax benefit is anticipated to be \$5,231 p.a. (\$34,847 – \$29,616).

Tax Liability – Debbie

Current Estimated Tax Liability (Based on 2019/20 tax return)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$172,238			
Deductions				
Personal superannuation contribution		\$27,500		
Other deductions		\$ 7,042		
TAXABLE INCOME			\$137,696	
Tax Payable before Rebates/Credits				\$36,014
LESS Rebates & Credits				
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$36,014
Medicare Levy				\$2,754
NET TAX				\$38,768

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$172,238			
Deductions				
Personal superannuation contribution		\$27,500		
Catch up superannuation contribution		\$25,837		
Other deductions		\$ 7,042		
TAXABLE INCOME			\$111,859	
Tax Payable before Rebates/Credits				\$26,821
LESS Rebates & Credits				
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$26,821
Medicare Levy				\$2,237
NET TAX				\$29,058

* Note: the additional \$25,837 superannuation contribution will be subject to contributions tax of 15% (\$3,875). Therefore, total tax incurred will be \$32,933.

Therefore, the overall tax benefit is anticipated to be \$5,835 p.a. (\$38,768 – \$32,933).

Investment of Superannuation Contributions v Debt Repayment

- You have an investment property in your SMSF with a loan totalling approximately \$558,177.
- The interest rate on this loan is approximately 4.90% p.a.
- In the 2021/22 financial year you contributed \$55,000 into the SMSF bank account (contribution of \$27,500 for each of you).
- Should you make the 'catch up contributions previously details (\$50,899 in total), along with your maximum personal concessional contributions for the 2022/23 financial year (\$55,000), you will have a total of \$160,899 in cash within your SMSF.
- The options available to you are:
 - **Focus on paying down debt with your superannuation contributions.**
 - **Direct contributions into the managed funds portion of your SMSF.**

Option A – pay down debt by \$160,899:

- By reducing the principal by this amount, the benefit this provides to you may be calculated as follows:

Interest saved on \$160,899 @ 4.90% = \$7,884 p.a.

The total cost at this interest rate over a 10-year period is **\$78,840.**

Option B – direct \$160,899 into managed funds:

- By directing these monies into an actively managed wholesale managed fund portfolio, the monies will then be invested within superannuation.
- Using a conservative average return of 6% p.a., the \$160,889 is projected to be valued at **\$271,819 in 10-years' time.**

Recommendation:

- Previn and Debbie, we suggest directing surplus monies into the managed funds portion of your SMSF, rather than directing these towards reducing / offsetting your debt.

Basis of Recommendation:

- The growth rate within the managed fund portfolio is anticipated to exceed the interest you will incur on the borrowed funds.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$4,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of \$1,200 p.a. will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, over time, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.